Note 16. Income Taxes

We did not provide any current or deferred United States federal, state or foreign income tax provision or benefit for the period presented because we have experienced operating losses since inception. We have provided a full valuation allowance on the deferred tax asset, consisting primarily of unclaimed research and development expenditures, because of uncertainty regarding our ability to realize the benefit.

Deferred income taxes reflect the net tax effect of temporary differences between the carrying amounts of assets and liabilities for financial reporting purposes and the amounts used for income tax purposes. Significant components of the net deferred taxes at August 31, 2009 and 2008 are as follows:

	August 31, 2009	August 31, 2008
Deferred tax asset attributable to:		
Net operating loss carryover	$ 5,330,000	$ 4,386,000
Less, valuation allowance	(5,330,000)	(4,386,000)
Total net deferred tax asset	$ -	$ -

We follow Statement of Financial Accounting Standards Number 109 (SFAS 109), “Accounting for Income Taxes.” SFAS No. 109 requires a valuation allowance, if any, to reduce the deferred tax assets reported if, based on the weight of the evidence, it is more likely than not that some portion or all of the deferred tax assets will not be realized. Management has determined that a valuation allowance of approximately $5,330,000 and $4,386,000 at August 31, 2009 and 2008 is necessary to reduce the deferred tax assets to the amount that will more than likely than not be realized. The change in valuation allowance for 2009 and 2008 was approximately $946,000 and $845,000 respectively.

At August 31, 2009, and 2008 we had net operating loss carry forwards amounting to approximately $11,359,000 and $9,296,000 for U.S. and Canadian tax purposes, respectively, that expires in various amounts beginning in 2010 and 2009 in the U.S. and Canada, respectively.

The federal statutory tax rate reconciled to the effective tax rate for 2009 and 2008 are as follows:

	2009	2008
Tax at U.S. statutory rate	34.0%	34%
State tax rate, net of federal benefits	0.0	0.0
Foreign tax rate in excess of U.S. statutory rate	17.6%	17.6%
Change in valuation allowance	(51.6%)	(51.6%)
Effective tax rate	0.0%	0.0%